Ch. 4 CW Pt. 1

Principles of Microeconomics

September 7, 2025

Instructions

Please answer on a separate sheet of paper and submit on Gradescope by the end of class.

1. Consider the market for minivans. For each of the events listed here, identify which of the determinants of demand or supply are affected. Also, indicate whether demand or supply increases or decreases. Then, draw a diagram to show the effect on the price and quantity of minivans.

   (a) People decide to have more children.

   (b) A strike by steelworkers raises steel prices.

   (c) Engineers develop new automated machinery for the production of minivans.

   (d) The price of sports utility vehicles rises.

   (e) A stock market crash lowers people's wealth.

2. "An increase in the demand for notebooks raises the quantity of notebooks demanded but not the quantity supplied." Is this statement true or false? Explain.

3. Consider the markets for video streaming services, TV screens, and tickets at movie theaters.

   (a) For each pair, identify whether they are complements or substitutes:

   - video streaming and TV screens
   - video streaming and movie tickets
   - TV screens and movie tickets

   (b) Suppose a technological advance reduces the cost of manufacturing TV screens. Draw a diagram to show what happens in the market for TV screens.

   (c) Draw two more diagrams to show how the change in the market for TV screens affects the markets for video streaming and movie tickets.